which the unions found unacceptable. Experts in Punjab say the deal would have anyway broken down in the future as crop diversification requires much more effort than just assured MSP for produce. "Wheat and paddy are easier crops to grow than, say, cotton. And they don't require much involvement from the farmer, except during sowing and harvesting," says a Punjab Agricultural University (PAU) professor.

More than anything, however, it was reminiscent of the 13-month siege the national capital had witnessed in 2020-'21, just that the farmers haven't reached the gates of Delhi yet. The Haryana police have managed to sequester them at the Shambhu and Khanauri borders for now. The threat of a long-drawn protest has the ruling BJP worked up again, especially as the Lok Sabha election is just months away. The previous siege had forced the Narendra Modi government to back down and withdraw its big-ticket farm sector reforms. This time, the demand is for an MSP guarantee for 23 crops, an enhanced price discovery formula among a host of other demands.

FARMERS' ANXIETY

Two years after becoming the prime minister, Modi had in February 2016 committed to doubling farm incomes by 2022. Extrapolating from the 2012-13 National Sample Survey Office (NSSO) estimates, the average annual income of a farm household at the national level in 2015-16 was assumed to be Rs 96,703 (Rs 8,058 per month) and a target was set to take it to Rs 2.71 lakh at current prices (Rs 22,610 per month). This required an annual growth rate of 10 per cent. Instead, the 77th round of the Situation Assessment Survey of Agricultural Households, 2021, found the estimated monthly income of farm households in 2018-19 to be Rs 10,218 in nominal terms. Average outstanding loan per farmer household, as revealed in the Lok Sabha in February '23, was Rs 74,121. This tells us how acute distress in the farm sector is.

This is also why guaranteed MSP is such a sensitive subject, especially in Punjab where 85 per cent of the produce that comes to the market is picked up by government agencies at these prices. It's also why farmers in other states are demanding the same. The community already has a sense that MSP calculation doesn't reflect the true input costs. In 2018, the Centre decided to use the second best of the M.S. Swaminathan committee's formulas to calculate MSP—A2+FL (direct expenses incurred by farmers, such as seeds, fertilisers, pesticides and irrigation, plus 50 per cent more, along with the imputed value of unpaid family labour). The farmers have two issues with this—they don't trust the calculations of the Commission of Agricultural Costs and Prices (CACP), which sets the MSP; and they want it to take into account the rental value of their land and interest value of capital assets.

Farm unions often complain that the CACP estimates fail to adequately take into account increasing input costs and factor in inflation. Which is why they are pushing for MSP calculations on the basis of the third Swaminathan construct—C2 (factors in rentals and interest forgone on owned land and fixed capital assets, on top of A2+FL). For instance, if we take CACP data of C2 costs for paddy (Rs 1,911 per quintal) and apply the best-case 'C2+50% of C2' formula to calculate MSP, it will be Rs 2,866 per quintal, whereas the MSP right now is Rs 2,183 per quintal. If the weighted average of C2 costs provided by the states (Rs 2,139 per quintal) is considered, the MSP will be Rs 3,208 per quintal. On the other side, a CRISIL research estimate suggests that state agencies will have to spend Rs 3.8 lakh crore a year to procure paddy (factoring in that 'marketing year '23' had a 185 MT crop).

DOUBLE-EDGED SWORD

Back in 1964, then food and agriculture minister C. Subramaniam had come out with a "producers' price" for paddy and wheat as "a minimum price or a support price at which government should buy any quantities that may be offered...." He later also recommended addition of coarse cereals, pulses, oilseeds, sugarcane, cotton and jute. Of course, this was a time when the country's buffer stocks were empty, and agriculture had faced back-to-back drought years. Cut to the present, and can the government buy all 23 crops, as demanded by the unions, at this predetermined price? Does it make economic sense? What will the impact of this be on crop patterns? These are some of the questions that have been asked frequently in the past few days. One of Punjab's top agronomists, Sardara Singh Johl, says it is both "impractical and illogical". "If MSP is legalised for 23 crops, then, of course, everyone will only want to sell to the government. But they simply cannot procure the entire produce. And even if it does, where will it further sell, use or dispose of it? The government is not a

PUNJAB'S JITTERS

- Around 85% of Punjab's yield is procured by central agencies, the reason why MSP is such a sensitive topic
- Agriculture contributes 25% to the state's GSDP, the maximum among all states
- Average annual agri subsidy per household is Rs 1.22 lakh, the highest in the country
- Decades of monocrop agriculture have led to a poor soil crisis. Farms use 212 kg of fertilisers (national average is 135 kg). It also makes the case for crop diversification
- 1.1 million households depend on agriculture, 80% are small/marginal farmers
- Free power and mushrooming of tubewells have led to groundwater crisis. Only 17 years worth left, says NGT
- Crop diversification efforts in last 25 years have failed. State tried fruits, vegetables, cotton and pulses but lack of 'farm gate' infrastructure was a bane

Sources: State budget, NGT & 2015 agriculture census